

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 22-23

MARINE TRANSPORT LOGISTICS, INC. v. CMA CGM (AMERICA) LLC

**RESPONDENT’S REPLY TO COMPLAINANT’S MOTION FOR
LEAVE TO AMEND THE COMPLAINT**

Putative Respondent CMA CGM (America) LLC (“CCA”) hereby replies to the motion of Marine Transport Logistics, Inc. (“MTL”) for leave to amend its complaint. CCA does not oppose the request for leave as a general matter but opposes the attempt to retain CCA – a non-jurisdictional entity – as a respondent.

Grant or denial of leave to amend is, under the Federal Maritime Commission’s Rules of Practice & Procedure, at the discretion of the Presiding Officer. Rule 66(a) (45 C.F.R. 502.66(a)) (“Amendments or supplements to any pleading . . . will be permitted or rejected, either in the discretion of the Commission or presiding officer”).¹ Although the FMC tends to be fairly liberal in granting leave to amend early in a proceeding, it, like the federal courts, will not grant leave where the amendment would be futile. See, e.g., *Logfret, Inc. v. Kirsha, B.V.*, 1 FMC 2d, 419, 437 (I.D. 2019) (administratively final Oct. 21, 2019)(where complainant sued the wrong party, further amendment would be futile); *In Re: Vehicle Carrier Services*, 2018 FMC Lexis 57, at *99 (I.D. 2018); *MAVL Capital, Inc. v. MTL*, 2017 FMC Lexis 4 at *55 ((I.D. 2017); *Baltic Auto Shipping, Inc. v. Hitrinov*, 2015 FMC Lexis 26 at *6-7 (I.D. 2015); *Santa Fe Discount Cruise*

¹ We are puzzled why Complainant refers to the Federal Rules of Civil Procedure, but not the Commission’s own Rules addressing the matter. In any event, Complainants unfamiliarity with the Rules is of little moment and will not be addressed any further herein.

Parking, Inc. v. The Board Of Trustees Of The Galveston Wharves, 2014 FMC Lexis 31 at *28 (ALJ 2014); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, 2014 FMC Lexis 29 at *19 (ALJ 2014).²

One recognized basis for finding futility is that the amended complaint would be subject to a successful motion to dismiss. See *MAVL Capital*, supra, 2017 Lexis 4 at *15 ("Courts may deny a motion to amend a complaint as futile ... if the proposed claim would not survive a motion to dismiss" (quoting from *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996)); *Cockrell v. Sparks*, 510 F.3d 1307, 1310 (11th Cir. 2007) (*per curiam*)("Leave to amend a complaint is futile when the complaint as amended would still be properly dismissed or be immediately subject to summary judgment for the defendant").

If MTL is given leave to amend the complaint with CCA remaining as a Respondent, the proceeding will be delayed by a CCA motion to dismiss on the ground that CCA is not a regulated entity and thus not within the adjudicatory authority. Without belaboring the point or detailing the motion CCA would submit, it is worth noting that the courts have held that the FMC's authority over specific, regulated entities does **not** confer the Commission with jurisdiction over **agents** of such entities. *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493, 498, 2009 U.S. App. LEXIS 13940, *12. (Although the FMC has regulatory authority over non-vessel operating common carriers (NVOCCs), it does not have such authority over the agents of

² Cases under the federal rules reach the same conclusion. See, e.g., *Virtue v. International Brotherhood of Teamsters Retirement & Family Protection Plan*, 893 F. Supp. 2d 46, 47 (D.D.C. 2012) (futility of amendment is valid basis for denying leave to amend). Denial of a motion to amend on futility grounds is designed to prevent the waste of resources of both the court and the parties. *Frederick v. Michigan Department of Corrections*, 2012 WL 1079958 at *6 (E.D. Mich. 2012); *Mizzaro v. Home Depot, Inc.*, 544 F.3d 1230, 1255 (11th Cir. 2008).

NVOCCs). Thus, for the Commission to assert jurisdiction over CCA, MTL would have to allege, and prove that CCA itself (not CMA CGM, S.A.) (“CMA CGM”):

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination;
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country; and
- (iv) operates the vessel by which the transportation is provided. 46 U.S.C. 40102(7) & (18).

MTL does not in its proposed Amended Complaint allege that CCA meets all of the necessary elements. Indeed, it does not allege that CCA meets *any* of them. And in fact, CCA does not do any of these things. Instead, MTL simply recites its own conclusion that CCA is an ocean common carrier. This conclusion of law is obviously insufficient under *Iqbal*.

Accordingly, MTL’s proposed Amendment should be denied insofar as it purports to retain CCA as a respondent. Requiring the Parties to fight over that issue in the form of a motion to dismiss would be a grave disservice to the principle of judicial economy and FMC Rule 1, (46 C.F.R. 502.1).

Finally, a brief word about service of process. Complainant’s quibbles about how service may be effectuated are premature at best. Under any scenario, Complainant must serve process on CMA CGM. See FMC Rule 66(b) (46 C.F.R. 502.66(b)). Complainant can ask the FMC to serve the Amended Complaint or serve it itself (with the permission of the Presiding Officer). CMA CGM can then either accept service or indicate its opposition. Until the Amended

Complaint is served on CMA CGM and it responds to such service, there is no reason to debate how service may be effectuated.

In any event, Complainant offers nothing beside its own *ipse dixit* in support of its assertion that service on a regulated entity may be effectuated by service on its agent. That would seem quite contrary to *Landstar* and to the lack of any requirement in the FMC Rules that vessel-operating common carriers (VOCCs) designate agents for service of process.³

Complainant refers to other activities as purported evidence that CCA is authorized to accept service on behalf of CMA CGM. None of them have any bearing on the matter. First, Complainants say that counsel for CCA signed a petition submitted by the CMA Group (CMA CGM, APL Co. Pte. Ltd. and ANL Singapore Pte Ltd). This is true, but irrelevant. Counsel specifically noted that she was submitting the petition “on behalf of the CMA Group,” which as noted above does not include CCA. That she may have been authorized to submit a petition on behalf of others says nothing as to whether she is authorized to accept service of process for such entities in other matters. The undersigned have collectively signed and filed multiple petitions on behalf of ocean common carriers (including a member of the CMA Group), but nobody would believe that such action authorized us to receive any service in unrelated proceedings, especially not service of process. Secondly, Complainant refers to a “petition” it filed in the past naming CCA as the sole respondent. We assume that this is a typo and that Complainant meant to refer to the complaint it filed in Docket No. 18-07. Whatever CCA may or may not have done four years ago has no relevance to whether CCA is *now* an ocean common carrier or whether it is

³ The FMC does require foreign-based NVOCCs to designate a U.S. contact person for service of process (see 46 C.F.R. 515.24), but there is no such requirement applicable to VOCCs.

authorized to accept service on behalf of CMA CGM.⁴ Indeed, all Complainant has done is raise a question as to whether the FMC was authorized to approve the settlement in Docket No. 18-07 and if MTL owes CCA a refund.

To summarize, Respondent CCA objects to the grant of the Motion to Amend the Complaint, as the proposed Amended Complaint would continue to include CCA.

DATED: November 14, 2022

Respectfully submitted,

s/ *Rebecca A. Fenneman*

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ATTORNEYS FOR RESPONDENT

⁴ Complainant's suggestion that, by settling that matter, CCA designated itself for all time as within the jurisdiction of the FMC also flies in the face of the Commission's repeated recognition that parties may not by agreement or waiver confer jurisdiction on the FMC when it has none under the Shipping Act.

CERTIFICATE OF SERVICE

I certify that on the 14th day of November, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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